

SEBI SAFEGUARDS

The capital markets regulator has strengthened the regulatory framework for InvITs, focusing on tighter disclosures, improved transparency, and stronger governance standards



KEY INVESTOR PROTECTIONS INCLUDE

- **Eligibility norms:** Minimum networth requirement of ₹100 crore and proven track record for sponsors and investment managers
- **Skin in the game:** Sponsor must compulsorily invest along with a statutory lock-in period
- **Income distribution:** At least 90% of distributable income must be paid to unitholders
- **Transparency rules:** Strong disclosure standards, including regular financial reporting and independent valuations
- **Trustee oversight:** Expanded fiduciary responsibilities to ensure accountability and governance
- **Unitholder rights:** Investors holding at least 10% units can seek board representation
- **Grievance redressal:** The investment manager must resolve complaints within 21 days
- **Regulatory oversight:** Sebi retains the right to conduct suo motu inspections of InvIT records

SOURCE RAJANI ASSOCIATES

INVESTMENT • InvITs

reports shows that InvIT distributions in India rose 55% year-on-year in FY26, even amid fluctuating market conditions, while total payouts continued to grow sequentially

“Until Q3FY26, InvITs have collectively distributed approximately ₹87,000 crore, of which about ₹19,000 crore was paid during the first three quarters of FY26,” says Venkatesh. He adds that investors earned an average internal rate of return of 9–12%.

POST-TAX RETURNS

“InvIT distributions are complex as they include multiple components—primarily interest income, dividend income, and return of capital—each subject to distinct tax treatment despite being received as a unified payout,” says Ashish Parwani, Senior Partner at law firm Rajani Associates.

Interest income, typically the largest component, arises from payments made by underlying special purpose vehicles (SPVs) and is fully taxable in the hands of investors at applicable slab rates under “Income from Other Sources.” Consequently, it can reduce post-tax yields, particularly for investors in higher tax brackets.

Dividend income, on the other hand, is subject to differential treatment depending on the tax regime of the SPV. If the SPV has not opted for the concessional corporate tax regime, such dividends may be exempt in the hands of investors. However, in most contemporary structures where concessional regimes are adopted, dividend income is taxable at slab rates, diminishing tax efficiency.

Return of capital (ROC), often the most misunderstood component, is not income but a repayment of invested capital. While it is not taxed at the time of receipt, it reduces the investor’s cost of acquisition, increasing capital gains liability if the units are sold. Accordingly, ROC operates as a tax deferral mechanism rather than a tax exemption.

Capital gains on sale of listed InvIT units broadly follow equity taxation principles with rates based on the holding period. However, the cumulative effect of ROC adjustments may significantly enhance taxable gains at the time of exit.

From an investor’s perspective, the composition of the payouts is critical in determining real returns. “Headline yields may be misleading, as interest-heavy distributions result in lower post-tax income, whereas ROC-heavy structures may enhance near-term cash flows while deferring tax liabilities,” says Parwani. Additionally, taxability of dividends and the investor’s